

MONEY & THE PREMIER LEAGUE

The £116 Million Illusion

Nottingham Forest just received the biggest transfer fee in British history. Here's why it changes almost nothing.

On July 2nd, Manchester City paid £116 million for Elliot Anderson. A British record. More than Declan Rice. More than Jack Grealish. The third biggest fee in Premier League history, handed to Nottingham Forest for a 23-year-old midfielder who led the league in touches, duels won and possessions recovered last season.

For Forest fans, it looked like the moment everything changes. That kind of money buys a squad rebuild. That kind of money closes gaps.

It doesn't. And the reason it doesn't is the most important story in English football right now.

Where the £116m actually goes



THROUGH THE GAP

Draft figures - illustrative split, pending verification

Draft split — verify PSR position before publish

Selling wasn't a choice

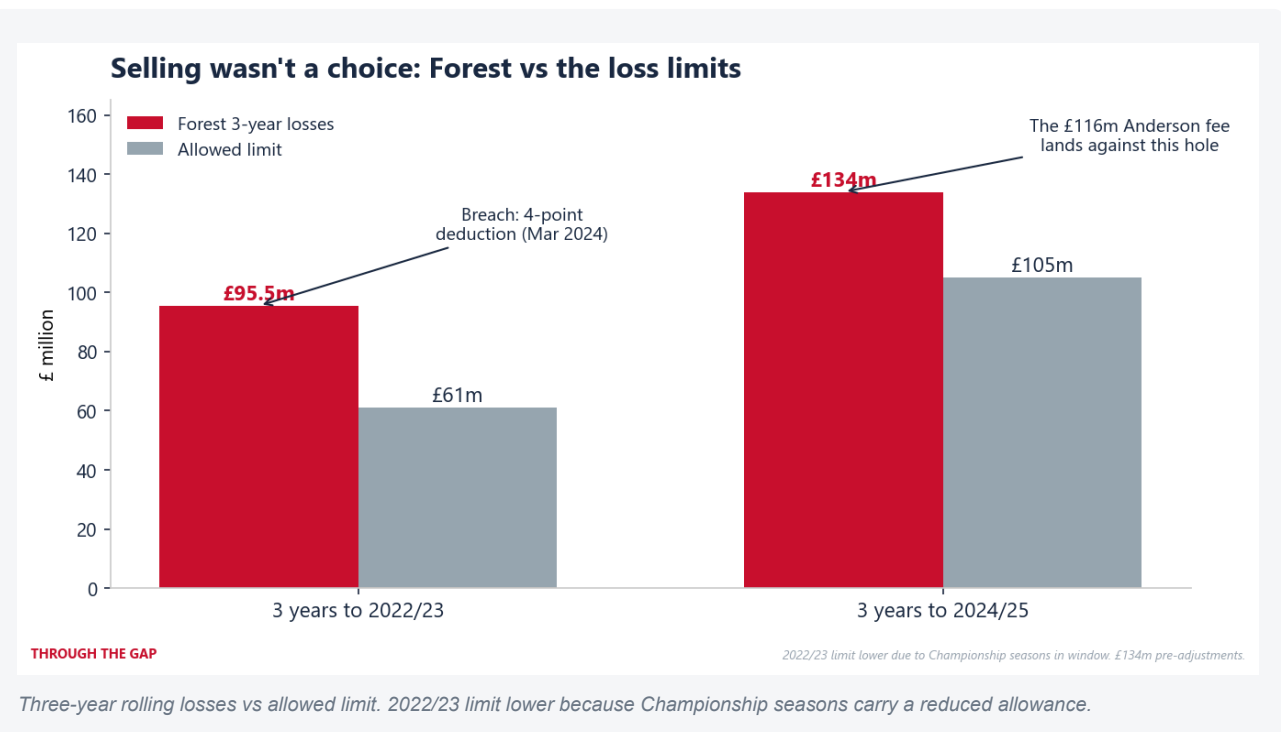
To understand why, you need to know what state Forest's books were in before City came calling.

The Premier League's Profitability and Sustainability Rules (PSR) allowed clubs to lose £105 million over a rolling three-year window. Forest know exactly what happens when you cross that line: in March 2024 they were docked four points for exceeding their threshold by £34.5 million. Last season they posted a £79 million loss, taking their three-year losses to £134 million before adjustments.



Read those numbers together, then look at the fee again. £116 million sounds like a war chest. Against a £134 million hole, it's a lifeline.

This is why Forest's reinvestment plans total roughly £60–70 million, not £116 million: a couple of midfielders, a goalkeeper, a centre-back. The rest of Anderson's fee doesn't buy players. It buys compliance. Forest didn't sell their best player to get stronger. They sold him to stay legal.



Three leagues in one

Forest aren't an outlier. They're one of three kinds of club that share a division while playing completely different financial games.

THE GIANTS

Man City, Arsenal, Liverpool.
Revenues so large that the rules, old or new, never really bind. They buy the Andersons.

THE CLIMBERS

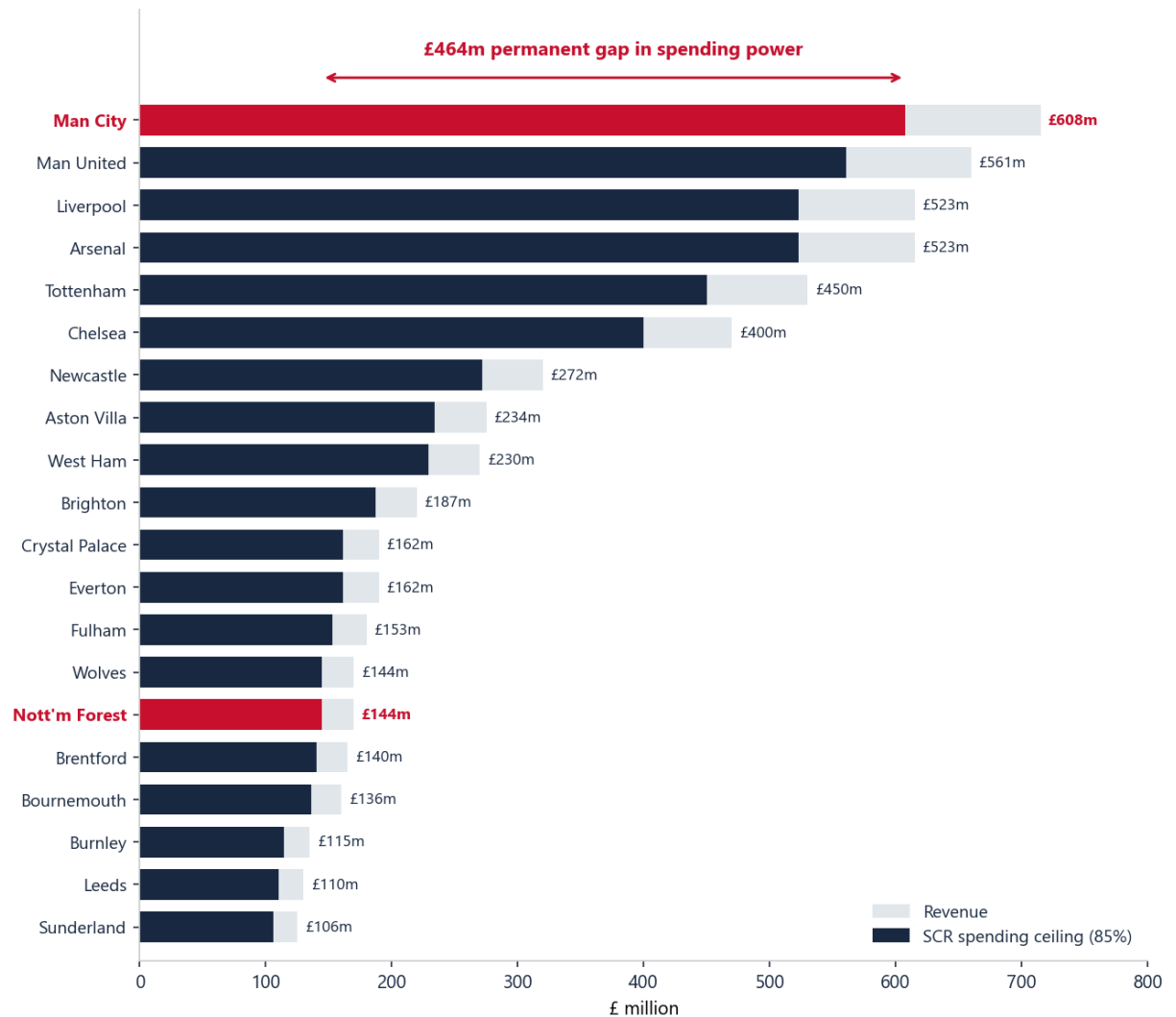
Brighton, Brentford. Small revenues, elite intelligence. They beat the market with data, and every summer they sell their best work to the tier above.

THE SURVIVORS

Forest, Everton, Leicester. Locked in a loop: spend to stay up, breach the rules, sell your best player to comply, get weaker, repeat.

The Anderson transfer is what it looks like when the top of this food chain feeds on the middle. A record fee moves from a Giant to a Survivor, and the table doesn't move at all.

Same rule, different worlds: what 85% of revenue buys



THROUGH THE GAP

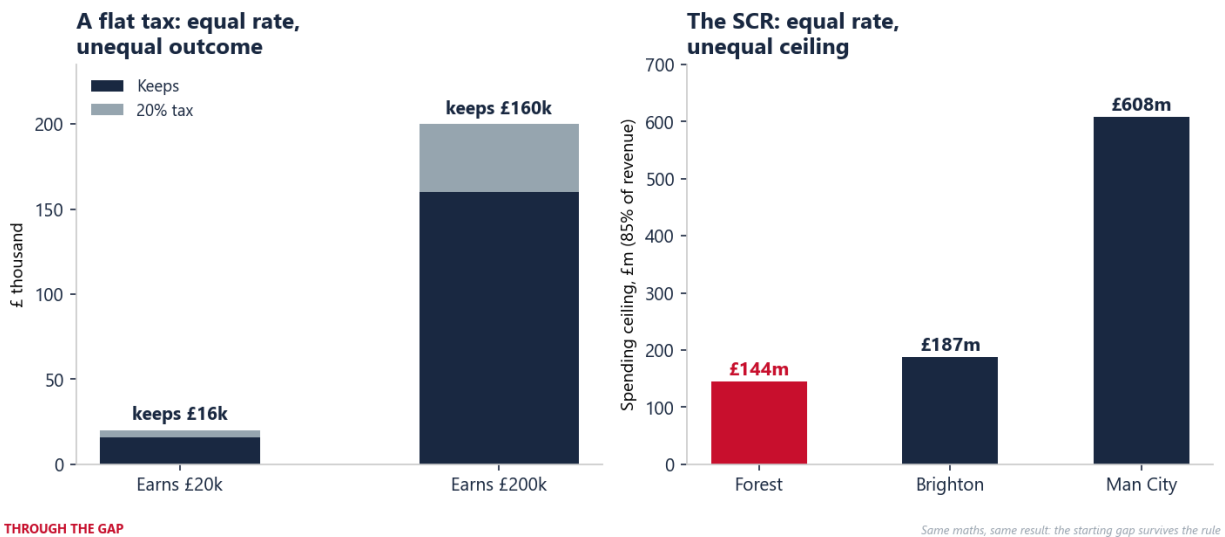
Revenue figures are draft estimates for layout purposes - verify all 20 before publish

Revenue estimates used for layout — all 20 figures require verification against published accounts before publish.

The flat tax problem

From next season, PSR is gone. Its replacement is the Squad Cost Ratio (SCR): every club may spend up to 85% of its revenue on squad costs. The same percentage for everyone. It sounds fair. It's the same logic as a flat tax, and it fails the same way.

If two people earn £20,000 and £200,000 and both pay 20% tax, the rate is equal and the outcome is not. One keeps £16,000, the other £160,000. Nobody calls that a level playing field.



Same mathematics, same result. The starting gap survives the rule.

Now run it in football terms. Manchester City's revenue is around £715 million, so 85% gives them a spending ceiling of just over £600 million. Forest's revenue is around £170 million, so their ceiling is roughly £145 million. Same rule. Same percentage. A permanent gap of more than £460 million, written into the regulations.

Under PSR, a club could at least gamble: absorb losses, spend ahead of its revenue, and try to jump tiers. It was reckless, and clubs got punished for it, but the ladder existed. The SCR removes the ladder. Your spending is now chained to your revenue, and your revenue is chained to your stadium, your history and your global brand.

The vote

None of this was an accident. It was a decision, and we know just enough about it to see whose decision it was.

On November 21st, 2025, the twenty Premier League clubs voted at a private shareholders' meeting. The SCR passed 14–6, the exact two-thirds minimum. The six clubs that voted no: Bournemouth, Brentford, Brighton, Crystal Palace, Fulham and Leeds. Every single one a small-revenue club that had done the maths on what 85% of not-very-much actually buys.

The same meeting considered Top-to-Bottom Anchoring — a hard cap limiting every club's squad spend to five times what the bottom club earns in central payments. With the bottom club receiving around £109 million, the cap would have sat near £545 million, constraining only the two or three biggest spenders in England. It was voted down 12–7. And here is the detail that should bother you most: you can't look any of this up. Premier League shareholder votes are not

published. The rules governing the richest football league on earth were decided in a private room, with no public record of who raised a hand.



The gap is the point

So what did £116 million actually buy?

For Manchester City: the best ball-winning midfielder in England, replaced in their squad plans within a fortnight, at a price that barely dents a £600 million ceiling.

For Forest: a filled-in PSR hole, three or four squad players, and maybe two seasons of breathing room before the next Anderson has to be sold.

For everyone else: a preview of how this decade works. Record fees will keep flowing to the Survivors and the Climbers, and the money will keep doing what it did here — maintaining the distance rather than closing it. Under the old rules the gap was an outcome. Under the new ones it's a design feature, ratified 14 votes to 6, in a room with the doors closed.

The £116 million was real. The illusion is what it could buy.

- Man City revenue (~£715m used — confirm from latest published accounts)
- Forest revenue (~£170m used — confirm from 2024/25 accounts)
- Forest 3-year PSR losses of £134m — clarify what adjustments bring this down
- Anderson fee: £116m guaranteed or with add-ons?
- Anderson stats (touches, duels won, possessions recovered) — confirm season and source
- Bottom club central payment £109.2m (Ipswich 2024/25) — confirm as anchoring reference
- Vote figures: SCR 14-6 and Anchoring 7-12-1 — confirm against two independent sources
- The 6 no-voting clubs — currently single-sourced; find a second source before naming them
- SCR 30% multi-year headroom allowance — decide whether to add a disarming sentence
- All 20 club revenue figures (Chart 3) — estimates only; replace with published accounts